

performance is not common knowledge. This does not speak well for due diligence these days.

Research into actual futures trading since the mid-1980s has confirmed the lack of profitability using quantitative timing strategies. Marshall, Cahan, and Cahan (2008) applied over 7,000 trading rules in five rule families (filter rules, moving averages, support and resistance, channel breakouts, and on-balance volume) to 15 major commodity markets from 1984 through 2005. Using two different bootstrapping methodologies and accounting for data-snooping bias, the authors found that these rules were not profitable on their own, despite their wide following.

Managed futures might still find a place in some portfolios due to their diversification value. In 2008, the Credit Suisse Managed Futures Index was up 17.6% (this was the last year that managed futures showed a gain), while the Credit Suisse Hedge Fund Index was down 20.7%. During this time, the Reuters/CRB Commodity Index was down 23.7%, the S&P 500 Index was down 38.4%, the MSCI World Index was down 42.1%, and the Dow Jones Wilshire Real Estate Securities Index was down 43.1%. Commodities can hedge supply shocks to the economy, such as the oil embargo of 1973–1974, but not usually overall shocks to the economy, such as the recessions of 1981 and 2001.

There is an alternative for those still wanting to include actively managed futures in their portfolios. Using data from 58 liquid futures markets from June 1985 to June 2012, Hurst, Ooi, and Pedersen (2014) were able to achieve comparable before-costs CTA results using a simple, trend-following absolute momentum strategy similar to the one you will see in [Chapter 8](#). Those who want to participate in actively managed commodity futures can avoid high fees (and achieve trends with benefits) by implementing this kind of simple, trend-following strategy.

HEDGE FUNDS

Alfred Winslow Jones became a U.S. diplomat working in Berlin in the early 1930s, where he also ran secret missions for a clandestine anti-Nazi group. During his earlier years, Jones traveled and drank with Ernest Hemingway, then later earned a doctorate in sociology from Columbia University. He joined the editorial staff at *Fortune* magazine in the early 1940s. While